

Financial Literacy - Lesson 2

Financial Goals

Emergency Fund

Opportunity Cost

Inflation

Risk vs Safety

Saving

Wealth Formula

Stocks

Dividends

Index Funds

Diversification

Growth Over Time

Inflation



Inflation is when prices increase over time, reducing the buying power of money.

Example:

- A burger costs \$5 today.
- In 10 years, the same burger may cost \$7.
- Your \$5 can no longer buy it.

Money sitting around loses purchasing power over time.

Q: If your money stays the same but prices go up, can you buy more or less?

A: You can buy less because your money loses value.

Why Saving Isn't Enough

Saving protects your money but often does not grow fast enough to beat inflation.

Example:

- You save \$1,000 in a bank account.
- Inflation rises 3% per year.
- Your money buys less each year if it isn't growing.

Saving is important, but investing helps your money grow.

Q: If you keep money in savings for years, what happens?

A: It may lose value due to inflation.

Stocks

A stock represents partial ownership of a company.

Example:

- If you bought stock in a successful company like Apple years ago, its value would have increased significantly.

Stocks allow investors to benefit from company growth.

Q: If a company becomes successful, what happens to its stock?

A: It usually goes up.

Dividends



Some companies share part of their profits with stockholders.

Example:

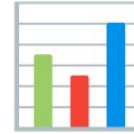
- You own 100 shares of a company.
- The company pays \$1 per share annually.
- You earn \$100 without selling your shares.

Dividends create passive income.

Q: How can you earn money without selling a stock?

A: By earning dividends.

Index Funds



An index fund owns shares of many companies at once.

Example:

- Instead of buying one company, you own hundreds through one investment.

If one company performs poorly, others can help balance the loss.

Q: Is it safer to invest in one or many companies?

A: Many companies reduce risk.

Diversification



Diversification means spreading investments across different assets.

Example:

- 100% invested in one company = high risk.
- Invested across many companies = lower risk.

Reduces the impact of a single investment failing.

Q: What if all money is in one stock and it crashes?

A: You could lose most of it.

Risk vs Safety

Higher potential returns usually come with greater risk.

Example:

- Savings account: low risk, low return.
- Stocks: higher risk, higher potential return.

Investors must balance risk and reward.

Q: Which has higher returns: high-risk or low-risk?

A: High-risk investments.

3-Step Wealth Formula

1. Earn

Get income from a job, business, or side hustle.

2. Save

Keep part of what you earn.

3. Invest

Put money into assets that can grow.

Example:

Earn \$100 → Save \$20 → Invest \$20.

This cycle helps build wealth over time.

Time = Power



The earlier you invest, the more time your money has to grow.

Example:

- Person A starts investing at 18.
- Person B starts at 30.
- Person A often ends up with much more money.

Time is one of the strongest tools investors have.

Q: Who has more money: early or late investor?

A: Early investor.

Consistency

Small amounts invested regularly can become large amounts.

Example:

- Invest \$10 every week.
- Continue for several years.
- Growth compounds over time.

Success comes from consistency, not huge deposits.

Q: Is \$10 regularly better than \$0?

A: Yes, it grows over time.

Passive Income

Money earned with little ongoing work.

Examples:

- Dividends
- Interest
- Rental income

Passive income can continue even when you're not actively working.

Q: What is money earned without working called?

A: Passive income.

Growth Over Time

Investing allows money to grow faster than saving alone.

Example:

- Spending = money disappears.
- Saving = money stays the same.
- Investing = money has the chance to grow.

Growth creates long-term financial opportunities.

Q: What grows most: spending, saving, or investing?

A: Investing.

Smart Strategy

Use a plan for your money instead of spending everything.

Example:

The 50/30/20 Rule:

- 50% Needs
- 30% Wants
- 20% Savings & Investing

Budgeting helps you reach financial goals.

Q: Spend all or divide money?

A: Divide it.

Key Habit

Consistently saving and investing builds wealth.

Example:

Someone who saves 10% of every paycheck often accumulates far more wealth than someone who saves nothing.

Good financial habits are more important than high income alone.

Q: What builds wealth early?

A: Saving and investing.

Emergency Fund



Money set aside for unexpected expenses.

Examples:

- Car repairs
- Medical bills
- Family emergencies

Prevents the need to borrow money or use credit cards.

Q: Why save for emergencies?

A: To avoid debt.

Opportunity Cost



The value of the next best choice you give up.

Example:

- Spend \$50 on a video game today.
- Or invest \$50 and let it grow.

Every financial decision has trade-offs.

Q: If you spend now, what do you lose?

A: Future growth.

Financial Goals

Targets that guide your money decisions.

Examples:

- Buy a car
- Pay for college
- Start a business
- Retire comfortably

Goals help you stay focused and motivated.

Q: Why set goals?

A: To make better decisions.

Main Points To Remember

- Inflation reduces purchasing power.
- Saving protects money, investing grows it.
 - Diversification lowers risk.
 - Start investing early.
 - Be consistent.
 - Build an emergency fund.
 - Set financial goals and follow a plan.